

HOUSE BILL 2004

By Hemmer

AN ACT to amend Tennessee Code Annotated, Title 8 and
Title 50, Chapter 2, relative to employment.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 50, Chapter 2, Part 1, is amended by
adding the following as a new section:

(a) As used in this section:

(1) "Employer" does not include this state, a local government, or a
political subdivision of this state; and

(2) "Paid leave" means annual leave or paid vacation leave that
periodically accrues to the benefit of an employee.

(b) Unless otherwise provided by a collective bargaining agreement, whenever
an employment contract or employer policy provides for the accrual of paid leave, and
an employee separates from service without using all of the employee's accrued paid
leave, the employer must compensate the former employee for the balance of such
unused accrued paid leave, to be paid to the former employee as wages at the former
employee's final rate of compensation. The employer shall pay such wages in a lump
sum no later than thirty (30) days after separation from service.

(c) An employment contract or employer policy:

(1) May include a limitation on the total amount of paid leave that an
employee may accrue before being required to use such leave in order to
resume acquiring paid leave; and

(2) Must not provide for the forfeiture of accrued paid leave upon an
employee's separation from service.

(d) To the extent applicable, this section applies to employment contracts executed, modified, or amended on or after the effective date of this act.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.